

Bharat Heavy Electricals Limited

BHEL

1.1%
ROE

4.0%
ROCE

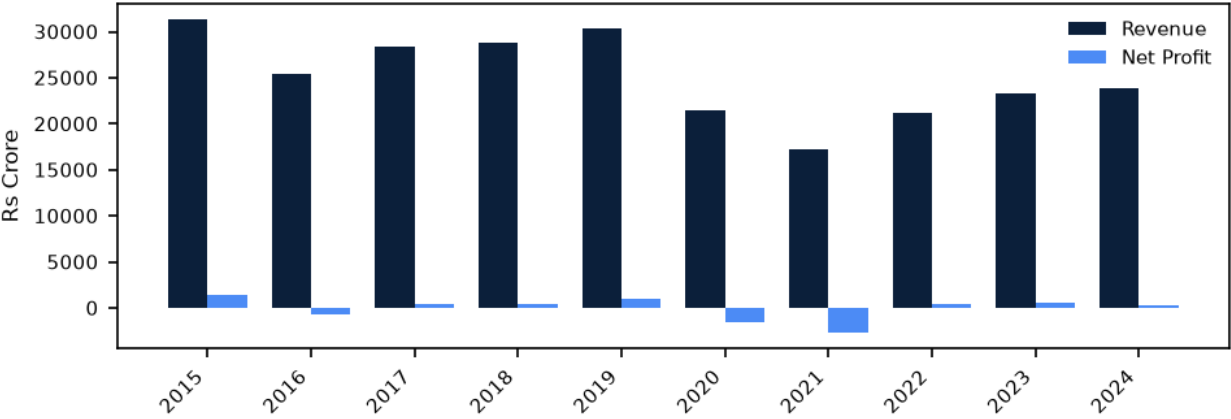
0.4x
D/E

3.0%
OPM

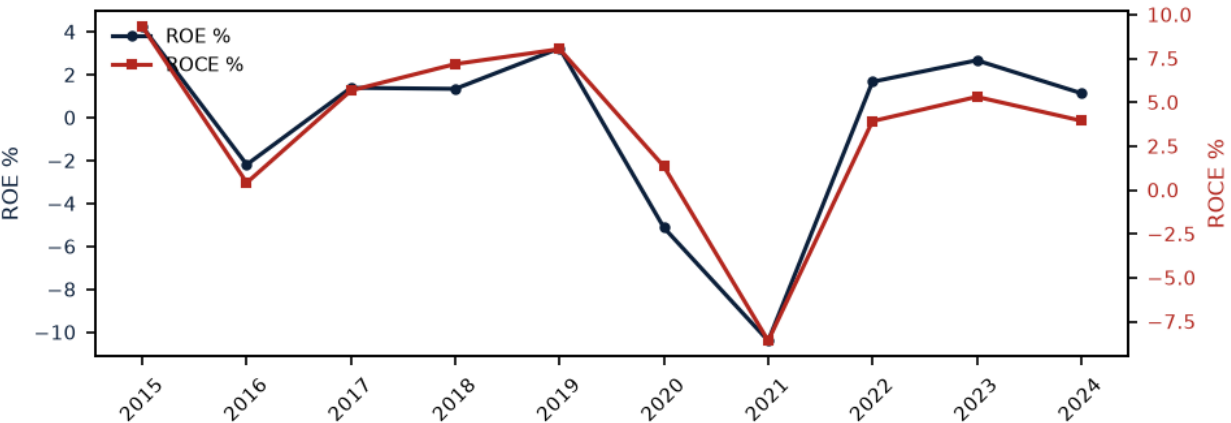
-4.7%
Revenue CAGR 5yr

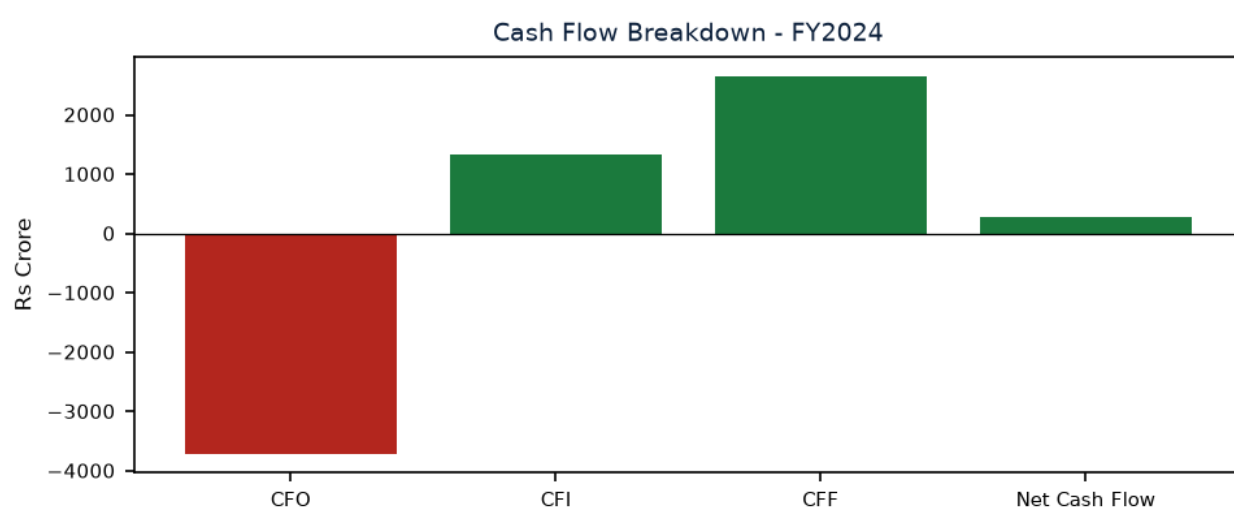
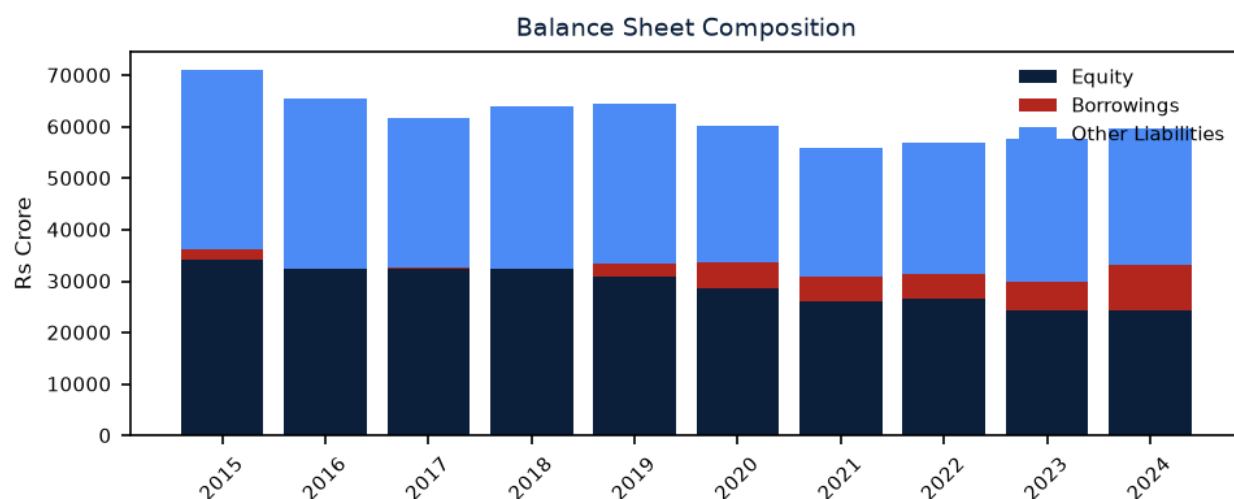
-22.4%
PAT CAGR 5yr

10-Year Revenue vs Net Profit



ROE vs ROCE Trend





Pros

- + Debt-free balance sheet provides financial flexibility and eliminates interest burden

Cons

- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- Revenue growing at below 5% over 5 years lags inflation and suggests limited business momentum
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk

Capital Allocation Pattern

Distress Signal